

**EGYPTIAN INTERNATIONAL  
PHARMACEUTICAL INDUSTRIES “EIPICO “S.A.E“  
CONSOLIDATED FINANCIAL STATEMENTS  
FOR THE YEAR ENDED DECEMBER 31, 2023  
WITH AUDITOR’S REPORT**

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*Translation of Financial Statements*  
*Originally Issued in Arabic*

**EGYPTIAN INTERNATIONAL PHARMACEUTICAL INDUSTRIES - EIPICO**  
**CONSOLIDATED STATEMENT OF FINANCIAL POSITION AS OF DECEMBER 31, 2023**

(Amount expressed in LE)

|                                       | <u>Note</u><br><u>No.</u> | <u>31/12/2023</u><br><u>L.E</u> | <u>31/12/2022</u><br><u>L.E</u> |
|---------------------------------------|---------------------------|---------------------------------|---------------------------------|
| <b><u>NON-CURRENT ASSETS</u></b>      |                           |                                 |                                 |
| Fixed assets (net)                    | (4)                       | 963,645,369                     | 969,914,107                     |
| Right of use assets (net)             | (5)                       | 2,022,754                       | 1,835,170                       |
| Projects under construction           | (6)                       | 3,058,211,677                   | 866,160,786                     |
| Intangible assets (net)               | (7)                       | 2,301,715                       | 1,567,040                       |
| Investments in associates             | (8)                       | 466,490,873                     | 352,342,033                     |
| <b>Total non-current assets</b>       |                           | <b>4,492,672,388</b>            | <b>2,191,819,136</b>            |
| <b><u>CURRENT ASSETS</u></b>          |                           |                                 |                                 |
| Inventory (net)                       | (9)                       | 2,242,395,730                   | 2,161,799,424                   |
| Accounts and notes receivable (net)   | (10)                      | 2,357,855,472                   | 1,794,422,644                   |
| Non-current assets held for sale      |                           | 12,330,000                      | 12,330,000                      |
| Debtors and other debit balances      | (11)                      | 197,731,029                     | 130,569,216                     |
| Cash and cash equivalents             | (12)                      | 675,798,245                     | 482,969,378                     |
| <b>Total current assets</b>           |                           | <b>5,486,110,476</b>            | <b>4,582,090,662</b>            |
| <b>Total Assets</b>                   |                           | <b>9,978,782,864</b>            | <b>6,773,909,798</b>            |
| <b><u>Equity</u></b>                  |                           |                                 |                                 |
| Capital                               | (13)                      | 1,487,557,500                   | 991,705,000                     |
| Reserves                              | (14)                      | 1,835,139,939                   | 1,502,885,332                   |
| Retained earnings                     | (15)                      | 77,872,936                      | 74,145,367                      |
| Dividends "EIACO"                     |                           | 34,520,000                      | 27,616,000                      |
| Net profit for the period /year       | (16)                      | 822,317,715                     | 642,982,324                     |
| <b>Total equity (parent company)</b>  |                           | <b>4,257,408,090</b>            | <b>3,239,334,023</b>            |
| Non-controlling interest (Minority)   |                           | 3,394,945                       | 3,052,935                       |
| <b>Total equity</b>                   |                           | <b>4,260,803,035</b>            | <b>3,242,386,958</b>            |
| <b><u>Non-Current Liabilities</u></b> |                           |                                 |                                 |
| long term loans                       | (17)                      | 2,832,316,822                   | 735,619,163                     |
| long term credit facilities           | (18)                      | --                              | 76,512,181                      |
| Lease liability – long term           | (19)                      | 134,716                         | 794,054                         |
| Deferred tax                          | (20)                      | 54,792,968                      | 58,940,504                      |
| <b>Total non-current liabilities</b>  |                           | <b>2,887,244,506</b>            | <b>871,865,902</b>              |
| <b><u>Current Liabilities</u></b>     |                           |                                 |                                 |
| Provisions                            | (21)                      | 191,159,599                     | 115,393,367                     |
| credit bank (facilities)              | (22)                      | 2,045,331,450                   | 2,032,647,352                   |
| Suppliers and note payable            | (23)                      | 176,353,891                     | 200,245,865                     |
| Dividends Payable                     |                           | 45,225                          | --                              |
| Creditors and other credit balances   | (24)                      | 230,675,384                     | 203,162,053                     |
| Accrued Income tax                    | (25)                      | 184,979,290                     | 106,817,993                     |
| Lease liability – short term          | (19)                      | 2,190,480                       | 1,390,308                       |
| <b>Total current liabilities</b>      |                           | <b>2,830,735,319</b>            | <b>2,659,656,938</b>            |
| <b>Total liabilities</b>              |                           | <b>5,717,979,825</b>            | <b>3,531,522,840</b>            |
| <b>Total Liabilities &amp; Equity</b> |                           | <b>9,978,782,864</b>            | <b>6,773,909,798</b>            |

- The accompanying notes are an integral part of these financial statements.
- Auditor's report.

Chief Financial Officer  
Mohamed Taha Elswify

Chairman and Managing Director  
Dr. Ahmed Said Mohamed Kilani




*Translation of Financial Statements*

*Originally Issued in Arabic*

**EGYPTIAN INTERNATIONAL PHARMACEUTICAL INDUSTRIES - EIPICO**  
**CONSOLIDATED STATEMENT OF PROFIT OR LOSS**  
**FOR THE YEAR ENDED DECEMBER 31, 2023**

(Amounts expressed in L.E.)

|                                                                     | <u>Note</u> | <u>31/12/2023</u>      | <u>31/12/2022</u>      |
|---------------------------------------------------------------------|-------------|------------------------|------------------------|
|                                                                     | <u>No.</u>  | <u>L.E</u>             | <u>L.E</u>             |
| Net Sales                                                           | (26)        | 5,231,665,571          | 3,955,156,682          |
| Cost of sales                                                       | (27)        | (2,896,343,413)        | (2,301,968,839)        |
| <b>Gross profit</b>                                                 |             | <b>2,335,322,158</b>   | <b>1,653,187,843</b>   |
| Marketing expenses                                                  | (28)        | (648,291,681)          | (553,837,414)          |
| Research and development expenses                                   | (29)        | (43,227,785)           | (43,683,190)           |
| General and Administrative expenses                                 | (30)        | (151,584,727)          | (130,892,038)          |
| Board of Directors allowances                                       |             | (2,020,000)            | (1,859,380)            |
| Financing expenses                                                  | (31)        | (407,705,200)          | (222,096,984)          |
| Formed from expected credit losses                                  |             | (39,000,000)           | (35,000,000)           |
| Formed from impairment in inventory value                           |             | (87,000,000)           | (95,000,000)           |
| Formed provisions                                                   | (32)        | (139,000,000)          | (120,000,000)          |
| <b>Total Expenses</b>                                               |             | <b>(1,517,829,393)</b> | <b>(1,202,369,006)</b> |
| <b>Add:</b>                                                         |             |                        |                        |
| Profits of subsidiaries and associates                              |             | 74,508,447             | 38,016,308             |
| Credit interest                                                     |             | 26,243,536             | 19,752,079             |
|                                                                     |             | <b>100,751,986</b>     | <b>57,768,387</b>      |
| <b>Add/ (Deduct):</b>                                               |             |                        |                        |
| Capital gain                                                        |             | 4,689,492              | 3,698,493              |
| Differences on foreign currency exchange                            |             | 139,625,936            | 286,404,665            |
| Other income                                                        |             | 20,695,305             | 6,053,659              |
| <b>Net profit for the year before taxes</b>                         |             | <b>1,083,255,484</b>   | <b>804,744,041</b>     |
| Income tax                                                          |             | (249,772,423)          | (162,970,881)          |
| Deferred tax – Asset (Liabilities)                                  | (35)        | 4,147,536              | 12,904,158             |
| Takaful Contribution                                                | (33)        | (14,324,267)           | (10,917,142)           |
| <b>Profit for the year after tax</b>                                |             | <b>823,306,330</b>     | <b>643,760,176</b>     |
| <b>Distributed as follows:</b>                                      |             |                        |                        |
| Profits of the holding company                                      |             | 751,218,307            | 587,040,623            |
| The share of the holding company from the subsidiary                |             | 71,099,408             | 55,941,701             |
| The share of the holding company from the profits of the subsidiary |             | <b>988,615</b>         | <b>777,852</b>         |
|                                                                     |             | <b>823,306,330</b>     | <b>643,760,176</b>     |

- The accompanying notes are an integral part of these financial statements.

Chief financial officer

Mohamed Taha Elswify



Chairman and Managing Director

Dr. Ahmed Said Mohamed Kilani



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**EGYPTIAN INTERNATIONAL PHARMACEUTICAL INDUSTRIES - EIPICO**  
**CONSOLIDATED OTHER COMPREHENSIVE INCOME STATEMENT**  
**FOR THE YEAR ENDED DECEMBER 31, 2023**

(Amounts expressed in LE)

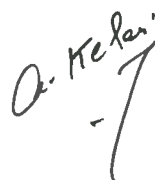
|                                                                        | <u>31/12/2023</u>  | <u>31/12/2022</u>  |
|------------------------------------------------------------------------|--------------------|--------------------|
|                                                                        | <u>L.E</u>         | <u>L.E</u>         |
| Profit of the year                                                     | 823,306,330        | 643,760,176        |
| <b><u>Other comprehensive income:</u></b>                              |                    |                    |
| Differences on foreign currency exchange                               | --                 | --                 |
| Entity's share from Other Comprehensive income of associated companies | --                 | --                 |
| <b>Total of comprehensive income of the year</b>                       | <u>823,306,330</u> | <u>643,760,176</u> |

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**Chief financial officer**  
**Mohamed Taha Elswify**



**Chairman and Managing Director**  
**Dr. Ahmed Said Mohamed Kilani**



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**EGYPTIAN INTERNATIONAL PHARMACEUTICAL INDUSTRIES - EIPICO**  
**CONSOLIDATED STATEMENT OF CHANGES IN PARTNERS' EQUITY FOR YEAR ENDED DECEMBER 31, 2023**

(Amounts expressed in LE)

| <u>Description</u>              | <u>Paid-up<br/>Capital</u> | <u>Legal<br/>Reserve</u> | <u>General<br/>Reserve</u> | <u>Capital<br/>Reserve</u> | <u>Expansions<br/>Reserve</u> | <u>Retained<br/>Earning</u> | <u>Total equity of<br/>the holding<br/>company</u> | <u>Non-<br/>controlling<br/>rights</u> | <u>Total</u>         |
|---------------------------------|----------------------------|--------------------------|----------------------------|----------------------------|-------------------------------|-----------------------------|----------------------------------------------------|----------------------------------------|----------------------|
|                                 | <u>L.E.</u>                | <u>L.E.</u>              | <u>L.E.</u>                | <u>L.E.</u>                | <u>L.E.</u>                   | <u>L.E.</u>                 | <u>L.E.</u>                                        | <u>L.E.</u>                            | <u>L.E.</u>          |
| Balance as of January 1, 2022   | 991,705,000                | 343,557,403              | 175,749,836                | 80,160,435                 | 851,659,000                   | 527,817,056                 | 2,970,648,730                                      | 2,820,166                              | 2,973,468,896        |
| Retained earnings               | --                         | --                       | --                         | --                         | --                            | (388,202,374)               | (388,202,374)                                      | (407,992)                              | (388,610,366)        |
| Adjustments of 2022             | --                         | 26,113,604               | (4,354,946)                | 30,000,000                 | --                            | (51,758,658)                | --                                                 | 24,773                                 | 24,773               |
| Transferred to reserves         | --                         | --                       | --                         | --                         | --                            | (13,710,657)                | (13,710,657)                                       | (161,864)                              | (13,872,521)         |
| Dividends "EIACO"               | --                         | --                       | --                         | --                         | --                            | 27,616,000                  | 27,616,000                                         | --                                     | 27,616,000           |
| Net profit of the year          | --                         | --                       | --                         | --                         | --                            | 642,982,324                 | 642,982,324                                        | 777,852                                | 643,760,176          |
| <b>Balance as of 31/12/2022</b> | <b>991,705,000</b>         | <b>369,671,007</b>       | <b>171,394,890</b>         | <b>110,160,435</b>         | <b>851,659,000</b>            | <b>744,743,691</b>          | <b>3,239,334,023</b>                               | <b>3,052,935</b>                       | <b>3,242,386,958</b> |
| <b>Balance as of 1/1/2023</b>   | <b>991,705,000</b>         | <b>369,671,007</b>       | <b>171,394,890</b>         | <b>110,160,435</b>         | <b>851,659,000</b>            | <b>744,743,691</b>          | <b>3,239,334,023</b>                               | <b>3,052,935</b>                       | <b>3,242,386,958</b> |
| Increase in capital of Epico    | 495,852,500                | --                       | --                         | --                         | --                            | --                          | 495,852,500                                        | --                                     | 495,852,500          |
| Distributed Dividends           | --                         | --                       | --                         | --                         | --                            | (670,598,324)               | (670,598,324)                                      | (799,960)                              | (671,398,284)        |
| Retained earnings               | --                         | --                       | --                         | --                         | --                            | 3,727,569                   | 3,727,569                                          | 114,462                                | 3,842,031            |
| Adjustments of 2023             | --                         | --                       | --                         | (90,000,000)               | 90,000,000                    | --                          | --                                                 | --                                     | --                   |
| Transferred to reserves         | --                         | 32,254,607               | --                         | --                         | 300,000,000                   | --                          | 332,254,607                                        | 38,893                                 | 332,293,500          |
| Dividends "EIACO"               | --                         | --                       | --                         | --                         | --                            | 34,520,000                  | 34,520,000                                         | --                                     | 34,520,000           |
| Net profit of the period        | --                         | --                       | --                         | --                         | --                            | 822,317,715                 | 822,317,715                                        | 988,615                                | 823,306,330          |
| <b>Balance as of 31/12/2023</b> | <b>1,487,557,500</b>       | <b>401,925,614</b>       | <b>171,394,890</b>         | <b>20,160,435</b>          | <b>1,241,659,000</b>          | <b>934,710,651</b>          | <b>4,257,408,090</b>                               | <b>3,394,945</b>                       | <b>4,260,803,035</b> |

- The accompanying notes are an integral part of these financial statements.

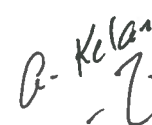
Chief financial officer

Mohamed Taha Elswify



Chairman and Managing Director

Dr. Ahmed Said Mohamed Kilani



**EGYPTIAN INTERNATIONAL PHARMACEUTICAL INDUSTRIES - EIPICO**  
**CONSOLIDATED STATEMENT OF CASH FLOW**  
**FOR THE YEAR ENDED DECEMBER 31, 2023**

(Amounts expressed in L.E.)

|                                                                  | <u>31/12/2023</u>      | <u>31/12/2022</u>    |
|------------------------------------------------------------------|------------------------|----------------------|
|                                                                  | <u>L.E</u>             | <u>L.E</u>           |
| <b>Cash flows from operating activities:</b>                     |                        |                      |
| Net profit for the year before tax                               | 1,083,255,484          | 804,744,041          |
| Fixed assets depreciation                                        | 102,675,784            | 97,229,977           |
| Amortization of right of use assets                              | 2,082,510              | 1,868,782            |
| Formed from expected credit losses                               | 39,000,000             | 35,000,000           |
| Formed from impairment in inventory value                        | 87,000,000             | 95,000,000           |
| Formed from Provisions                                           | 139,000,000            | 120,000,000          |
| Used from expected credit losses                                 | (2,224,193)            | (4,664,636)          |
| Used from impairment in inventory value                          | (83,019,370)           | (46,728,810)         |
| Used from Provisions                                             | (63,233,768)           | (78,391,936)         |
| Amortization of intangible assets                                | 491,451                | 161,220              |
| Credit interest                                                  | (20,501,196)           | (16,901,354)         |
| Dividends                                                        | (18,853,419)           | (12,510,120)         |
| Revaluation Investments                                          | (55,655,028)           | (25,506,188)         |
| Debit interest                                                   | 388,524,107            | 195,420,689          |
| Fixed assets sale's (profit) loss                                | (4,689,492)            | (3,698,493)          |
| Differences on foreign currency Exchange                         | (222,289,422)          | (294,583,130)        |
| Adjustments on retained earnings                                 | 34,520,000             | 27,616,000           |
|                                                                  | <b>1,406,083,448</b>   | <b>894,056,042</b>   |
| Change in account and notes receivables and other debit balances | (613,396,581)          | (567,797,220)        |
| Change in inventory                                              | (84,576,937)           | (392,285,085)        |
| Change in suppliers and notes payables and other credit balances | (137,741,615)          | 26,497,563           |
| Payments for leasing contracts                                   | (2,129,260)            | (1,945,582)          |
| Paid Interest                                                    | (388,524,107)          | (195,420,689)        |
| Paid tax                                                         | (89,360,456)           | (59,917,773)         |
| <b>Net cash flows from (used in) operating activities</b>        | <b>90,354,492</b>      | <b>(296,812,744)</b> |
| <b>Cash flows from investment activities:</b>                    |                        |                      |
|                                                                  | (84,000,000)           | --                   |
| (Payments) for purchase fixed assets                             | (2,290,194,556)        | (562,954,417)        |
| Proceeds from the sale of fixed assets                           | 5,199,988              | 3,747,087            |
| Dividends                                                        | 18,853,419             | 12,510,120           |
| Credit interest                                                  | 20,501,196             | 16,901,354           |
| <b>Net cash flows (used in) investment activities</b>            | <b>(2,329,639,953)</b> | <b>(529,795,856)</b> |
| <b>Cash flows from financing activities:</b>                     |                        |                      |
| Capital (treasury shares)                                        | 495,852,500            | --                   |
| Dividends                                                        | (309,756,566)          | (393,139,776)        |
| Cash Credit bank                                                 | 3,543,490              | 813,481,729          |
| Cash out loan and change facilities                              | (76,512,181)           | (172,915,263)        |
| Cash in loans                                                    | 2,096,697,659          | 455,981,107          |
| <b>Cash flows (used in) financing activities</b>                 | <b>2,209,824,906</b>   | <b>703,407,797</b>   |
| <b>Net change in cash and cash equivalents during the year</b>   | <b>(29,460,555)</b>    | <b>(123,200,803)</b> |
| <b>Cash and cash equivalents at the beginning of the year</b>    | <b>482,969,378</b>     | <b>311,587,051</b>   |
| Differences on foreign currency Exchange                         | 222,289,422            | 294,583,130          |
| <b>Cash and cash equivalents at the end of the year</b>          | <b>675,798,245</b>     | <b>482,969,378</b>   |

- The accompanying notes are an integral part of these financial statements.

Chief financial officer  
Mohamed Taha Elswify



Chairman and Managing Director  
Dr. Ahmed Said Mohamed Kilani



**EGYPTIAN INTERNATIONAL PHARMACEUTICAL INDUSTRIES - EIPICO**  
**NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS**  
**FOR THE YEAR ENDED DECEMBER 31, 2023**

**1 BACKGROUND ABOUT SUBSIDIARIES COMPANIES**

The Egyptian International Company for Ampoules (EIACO)

The company was established in accordance with the provisions of Investment Law No. (8) and its executive regulations for the purpose of manufacturing pharmaceutical ampoules.

**2 THE MOST IMPORTANT ACCOUNTING POLICIES**

**2.1 Basis Of Preparing Consolidated Financial Statements:**

The consolidated financial statements of the Egyptian International Pharmaceutical Industries were prepared from the independent financial statements of the Egyptian International Pharmaceutical Industries and its subsidiary company - the Egyptian International Company for Ampoules (EIPICO) - and the company's contribution to it was 98.63%, and the rest was 1.37% by other shareholders.

The financial statements are prepared in accordance with Egyptian accounting standards and in light of the relevant Egyptian laws and regulations.

The financial statements are prepared using the historical cost basis and in accordance to Going concern assumption.

**Accounting Estimates**

The preparation of financial statements in accordance with Egyptian accounting standards requires that the best assumptions and estimates made by management be relied upon and what it deems appropriate to develop and apply accounting policies to reflect the economic substance and content of the transactions that are carried out and related to the company's underlying activity (current activity income, asset impairment, deferred taxes, fair value of financial instruments), and therefore those estimates and assumptions made in the light of the best data and information available to management may directly affect revenue values and costs. Related to these estimates and the values of the assets and related obligations in the event that the estimates set at the date of the preparation of the statements differ from the actual reality in the following financial periods, without compromising the extent to which the financial statements express the reality of the company's financial position and cash flows for the current period.



**Consolidation Procedure**

The consolidated financial statements are prepared by compiling the financial statements of the Egyptian Pharmaceutical Company for Pharmaceutical Industries with the financial statements of the subsidiaries in detail by compiling similar items of assets, liabilities, equity, revenues and expenses in order to present the consolidated financial statements financial information about the group as if it were a single entity and following the following steps when preparing the financial statements bundled:

- The book value of the holding company's investment in each subsidiary company is disposal with the holding company's share of equity in each subsidiary company.
- The rights of the non-controlling interest are determined in the net profit/loss of the subsidiaries.
- The rights of the non-controlling interest in the net assets of the consolidated subsidiaries are determined and presented in the financial statements independent of the equity of the shareholders of the parent company.
- Balances resulting from transactions exchanged between group companies as well as group transactions, including income (sales), expenses and dividends, are completely excluded, and profits or losses resulting from group transactions are completely excluded.
- Consolidated financial statements are prepared using uniform accounting policies for similar transactions and for events in the same circumstances.
- The distribution of the acquisition cost (investment cost) has been proven on the basis of the book cost of the assets and liabilities of the subsidiaries and not the fair value of those assets and liabilities, and what increased the acquisition cost over the parent company's share in the book value of the net assets of the subsidiary was recorded in the company's retained earnings (losses) for Holding company.

**2.2 Measurement Currency and Translation of Transactions In Foreign Currencies.**

**(a) Measurement currency**

The financial statements are presented in Egyptian pounds, which is the company's measurement currency.

**(B) Translation of foreign currency transactions**

Its group of books adheres to the Egyptian pound and foreign currency transactions during the period on the basis of the exchange rate recorded in the books on the appropriate exchange date and Asset balances and liabilities of a monetary nature in foreign currencies are assessed on the date of preparation of financial statements in accordance with the exchange rates prevailing within the free market for foreign exchange on that date, with the remeasure output included in the profit or loss statement.

### **3 SIGNIFICANT ACCOUNTING POLICIES**

#### **3.1 Fixed assets and depreciation**

Fixed assets are recorded at their historical cost - the cost of acquisition - and the asset shall be depreciated when available for use, i.e., when the asset becomes effectively operational in the manner specified by management.

-The gain or loss resulting from the disposal of fixed assets is recognized in the profit or loss statement.

-The capitalization of expenses depends on the carrying amount of the asset when the asset reaches the location and condition in which it was acquired and capable of operating in the manner intended by the administration.

-Subsequent expenses are added to the book value of the asset or recognized separately - as the case may be - only when the use of this item is likely to bring future economic benefits to the Company, and the acquisition cost of this item can be measured with a high degree of accuracy, and repair and maintenance expenses are charged with the profit or loss statement for the fiscal year during which those expenses were incurred.

The remainder of the productive and expected age of the assets is periodically reviewed and if the remainder of the expected productive life differs substantially from the basic estimate, the net book value is depreciated on the remaining productive life after adjustment.

In addition to recalculating the depreciation premium after deducting the impairment value of the net asset value over the remaining productive life, the depreciation value should be recalculated if the impairment is refunded as if the impairment had not been calculated before.

#### **Subsequent expenses on asset acquisition**

The main components of some fixed assets may need to be replaced at time intervals and these key components are treated as separate fixed assets because their productive life is different from the estimated production age of the underlying asset and therefore if these assets meet the terms of recognition of the asset, the use of this asset is likely to bring future economic benefits to the enterprise and the enterprise can measure the cost of acquiring the asset with a high degree of accuracy.

Expenses that occur to replace or renew asset components can be accounted for when acquired as new assets and the value of replaced or renewed assets is excluded from accounting records and books.

Subsequent expenditures on the acquisition are capitalized only if it is expected that it will result in an outflow of future economic benefit to the company.

#### **Depreciation**

The depreciable fixed asset value - which is the cost of the asset minus its residual value, is depreciated according to the straight-line method over the estimated useful life of each type of fixed asset, and the depreciation is charged to the profit or loss statement (land is not depreciated) and the following is a statement of ages Estimated productivity:

| <b><u>Asset Description</u></b>       | <b><u>Estimated Life in Years</u></b> |
|---------------------------------------|---------------------------------------|
| Administration Buildings & Structures | 50                                    |
| Factory Buildings & Structures        | 50                                    |
| Production activity machines          | 15                                    |
| Service machines & Utilities          | 15                                    |
| Means of Transportation               | 5                                     |
| Tools                                 | 5                                     |
| Office Furniture & Equipment          | 10                                    |

The depreciation method, useful lives and residual values of fixed assets are reviewed at the end of each financial period and adjusted if necessary.

The cost of replacing a component of a fixed asset is recognized within the cost of the asset after excluding the cost of that component when the company incurs that cost, if it is probable that future economic benefits will flow to the company as a result of such replacement, provided that its cost can be accurately measured. The future economic benefits of fixed assets, and all other expenses are recognized in the profit or loss statement as an expense when incurred.

### **3.2 Intangible Assets**

They are the assets that the company controls and from which future economic benefits are expected to flow. These assets result from costs incurred to acquire intangible assets in the event that there is a high degree of certainty that the economic benefits will be realized.

The cost of an intangible asset includes its purchase costs or direct and indirect costs related to preparing the intangible asset for use in the purpose for which it was acquired. It has a specific useful life to verify impairment by comparing the recoverable amount to the book value annually, as well as when there is an indication of impairment of the value of the intangible asset, and any increase in the book value over the recoverable value is recognized as an impairment loss in the profit or loss statement.

### **3.3 Projects under construction:**

All costs incurred by the Company in establishing fixed assets in building projects are proven under implementation and when the completion of the asset is completed, it is ready for use for the purpose for which the costs are converted to the fixed asset line.

### **3.4 Leasing contracts**

Egyptian Accounting standard (49) replaces Egyptian Accounting Standard No (20) rules and standards related to financial leasing operations.

#### **Lease Contract Obligations**

At the commencement date of the lease , the company measures the lease liability at the present value of the unpaid lease payments on that date using the implicit interest rate in the lease contract , if the rate can be easily determined and other than that by using the interest rate on the company 's additional borrowing and then later the company increases the carrying amount of the obligation to reflect the interest of the lease commitment and the note book is reduced to reflect payments.

**Right of use assets**

The company recognizes right of use assets on the start date of the lease contract with the initial measurement amount of the lease in addition to the initial direct expenses , the advance payments paid to lessor and the lease incentives received from the lessor (if any) are subtracted and added the costs incurred by the company in dismantling and removing the assets and returning the site where the assets were kept to its original condition or return the assets to the required condition in accordance with the terms and conditions of the lease. After the starting date of the lease, the company measures the Right-of-use asset at cost less any cumulative impairment losses and accumulated depreciation, adjusted as a result of any reassessment of the lease obligations. The right of use asset is depreciated from the starting date of the lease contract until the end of the useful life of the asset, if the lease contract transfers the ownership of the underlying asset to the company at the end of the lease term or if the company will exercise the purchase option. Otherwise, the company consumes the right of use asset from the starting date of the lease contract to the end of the useful life of the right of use asset or the end of the lease term, whichever earlier.

The company chose not to apply the requirements of the standard to the short-term lease contracts and to contracts in which the underlying asset has a small value.

**The Company as lessee**

The Egyptian accounting standard No 49 provides the lessee with an accounting model , where the lessee recognizes the right to use the leased asset within the company's assets also recognizes the liability which presents the present value of the unpaid lease payments within the company's obligations , bearing in mind that the lease contracts for the lessee is not classified as an operating lease contract or financing lease contract and there are optional exemptions for short term lease contracts and lease contracts for low value assets.

**3.5 Investments in subsidiaries**

Investments are included in companies in which the company owns a significant percentage of the capital shares of those companies, which enable it to achieve control or control through financial and administrative influence or according to the criterion of the share ratio, and the right to vote within investments in subsidiaries, where those investments prove the cost - the cost of acquisition - at the date of issuance of the purchase order, and the cost of those investments is reduced by the value of the non-temporary decrease - if any - load on the profit or loss statement for each investment individually.

**3.6 Investments in associate companies**

Associate companies are those on which the Group exerts great influence. The big impact is the company's ability to participate in the financial and operational decisions of the company invested in it, but it is not a common control or control over these policies.

Investments in associate companies are proven at cost, and in the event of a permanent decrease in the value of those investments, the book value is adjusted for this decrease and uploaded to the profit or loss statement for each investment individually.

**The following is a statement of the group's associate companies:**

|                                                        | <b>Contribution<br/>Nature</b> | <b>Contribution<br/>Percentage</b> |
|--------------------------------------------------------|--------------------------------|------------------------------------|
| EIPICO Tech Pharmaceutical Company (under liquidation) | Direct                         | 98.6%                              |

The results of the assets and obligations of associate companies are included in these financial statements using the equity method under which the investment in the associate company is recorded at cost in the statement of financial position and the cost is then adjusted so that the company's share in the profit or loss and other comprehensive income of the associate company is recorded. When the company's share in the associate company's losses exceeds its ownership (which includes any long-term ownership that forms part of the company's net investment in the associate company), the company ceases to recognize its share of the additional losses and record additional losses only to the extent that the company incurs legal or contractual obligations or makes payments on behalf of the associate company. If the associate company subsequently registers profits, the company registers its share of these profits only when its share of the profits is equal to its share of the recognized losses.

**Non-current assets held for sale**

Assets held for sale are assets whose book value is expected to be recovered mainly from a sale and not continued to be used, with the probability of selling the asset high through a plan to sell and market the asset, and the non-current assets held for sale are measured on the basis of the book value of those assets and the loading of the profit or loss statement of losses resulting from the impairment of those assets, if any.

**3.7 Financial investments at fair value through profit and loss**

Investments at fair value through profit or loss are financial assets classified either as assets held for trading purposes and acquired for the purpose of selling in a short period of time, or financial assets that were classified upon initial recognition of fair value through profit or loss, and the initial recognition of those investments at fair value Through profits or losses at fair value, and investments are re-measured at fair value through profits or losses at fair value, and gains and (losses) of fair value differences are recognized in the consolidated-income statement.

**3.8 Revenue Recognition**

Revenue is measured at the fair value of the consideration received or owed to the company, minus the value of returns, trade discounts, and quantity discounts. The benefits and risks of ownership of the sold goods to the buyer upon receipt of the sold goods.

In the case of export sales, the transfer of risks and benefits to the goods is determined in accordance with the conditions of shipment.

**Egyptian Accounting Standard No. 48 "Revenue from contracts with customers"**

Egyptian Accounting Standard No. (48) replaces Egyptian Accounting Standard No. (8) "Construction Contracts" and Egyptian Accounting Standard No. (11) "Revenue." The standard shall be applied on or after January 1, 2021, and the new revenue standard

introduced a five-step model based on accounting principles regarding the recognition of revenue when control of the goods is transferred to, or services are provided to the customer. These five steps are as follows:

**Step 1:** Determining the contracts concluded with clients, whether verbally or in writing, or in accordance with normal business practices.

**Step 2:** Specify the performance obligations in the contract, whether for the goods or services to be transferred.

**Step 3:** Determining the transaction price and payment terms for the goods or services to be transferred.

**Step 4:** Allocating the transaction price to the performance obligations.

**Step 5:** Revenue is recognized when the entity fulfills its performance obligations.

The standard requires entities to exercise an accounting estimate considering all relevant facts and circumstances when applying each step of the model to contracts with their customers. The standard also specifies the method of accounting for the incremental costs of obtaining a contract and costs directly related to fulfilling a contract.

The company has applied the new accounting policy set out in note (2-2), and there is no significant impact from the application of Egyptian Accounting Standard No. (48) "Revenue from contracts with customers" on the retained earnings on January 1, 2021, and on the method of proving the company's revenues.

### **3.9 Financial Instruments**

The application of Egyptian Accounting Standard No. 47 Financial Instruments as of January 1, 2021, led to changes in accounting policies and resulted in adjustments to the amounts recognized in the financial statements as of December 31, 2020. The balances of profits were influenced by the opening phase on January 1, 2021.

Egyptian Accounting Standard No. 47 defines financial instruments as requirements for verifying and measuring financial assets, financial obligations and certain non-financial contracts except for rights and obligations under lease contracts to which Egyptian Accounting Standard No. 49 "Lease contracts" applies. However, the debtor's lease liabilities recognized by the lessor are subject to the requirements of de-recognition and depreciation in accordance with this standard, which replaces the Egyptian accounting standard no. 29 "financial instruments - recognition and measurement".

#### **Initial recognition**

The Company initially recognizes financial assets and financial liabilities when it becomes a party to the contractual provisions of the financial instruments.

#### **Classification and measurement of financial assets and financial obligations.**

Egyptian Accounting Standard 47 Financial Instruments contains three main financial asset classification categories measured by consumable cost, fair value through other comprehensive income and fair value through profits or losses. The classification of financial assets under Egyptian accounting standard No. 47 financial instruments" generally depends on the business model in which the financial asset is managed and its contractual cash flow characteristics.

Egyptian Accounting Standard No. 47 eliminates financial instruments" Egyptian accounting standard No. 29 Financial Instruments - Recognition and Measurement" previously held up to maturity, loans and debits available for sale.

However, Egyptian accounting standard 47 Financial Instruments largely retains the current requirements in The Egyptian Accounting Standard No. 29 Financial Instruments - Recognition and Measurement" for the classification and measurement of financial obligations.

**They are classified as follows:**

**Financial assets at amortized cost**

The financial asset is kept within the business model of the financial assets held to collect contractual cash flows. The purpose of the business model is to retain the financial assets to collect the pure contractual flows that are presented in the principal amount of the investment and returns. The sale is an exceptional incidental concern for the purpose of this model and under the conditions set out in the standard of a deterioration in the credit capacity of the financial management source. Lowest sales in terms of cyclicity and value. A clear and reliable documentation process should be carried out for the justifications of each sale and its compatibility with the requirements of the standard.

**Financial assets at fair value through comprehensive income**

The financial asset is retained within the business model of the financial assets held to collect contractual cash flows and sell, both contractual cash flow collection and sale are integrated to achieve the model objective. Sales are high in cyclicity and value compared to the retained business model to load contractual cash flows.

**Financial assets at fair value through profits and losses**

The financial asset is retained among other business models that include trading, managing financial assets on a fair value basis, maximizing cash flows by sale. The objective of the business model is not to retain the financial asset, collect contractual cash flows or hold it to collect contractual cash flows and sell, collect contractual cash flows as an incidental event for the model objective.

**Business Model Assessment**

The Company assesses the business model in which the asset is held at a portfolio level because this best reflects the way the business is run, and information is presented to management. The information considered includes:

The announced policies and objectives of the portfolio and the mechanism of action of those policies in practice, and to find out whether the management strategy is based on earning contractual interest income or a competition for his financial assets, the duration of the financial obligations that finance those assets or the realization of cash flows through the sale of assets.

How to evaluate the performance of the portfolio and submit a report in this regard to the company's management.

The risks that affect the performance of the business model and the financial assets held in that business model and how these risks are managed.

The number of deals, the volume and timing of sales in previous periods, the reasons for these sales and their expectations regarding future sales activity. However, information

about sales activity is not considered separately but rather as part of a comprehensive assessment of how the company's stated objective of managing financial assets is being achieved and how cash flows are achieved.

Financial assets that are held for trading or whose performance is evaluated on a fair value basis are measured at FVTPL because they are not held to collect contractual cash flows only and are not held to collect contractual cash flows with the sale of financial assets.

Financial assets held for trading or whose performance is assessed on a fair value basis are measured at fair value by profits and losses because they are not held to collect contractual cash flows only and are not held to collect contractual cash flows with the sale of financial assets.

#### **Impairment of assets**

Egyptian Accounting Standard 47 Financial Instruments replaces the incurred loss model in Egyptian Accounting Standard 29 Financial Instruments - Recognition and Measurement with the "Expected Credit Loss (ECL)" model. The new impairment model applies to financial assets measured at amortized cost and customers.

For impaired customer receivables, expected credit losses are estimated as the difference between all contractual cash flows due to the company in accordance with the contract and all cash flows that the company expects to receive, discounted at the original effective interest rate in accordance with the contract entered into.

Expected credit losses in a weighted estimate of credit losses. It is made taking into account the cash flows expected to be received, the probability of default and the loss rate at default (ie the size of the loss if there is a default) taken into account and the relevant assessment is based on historical delay data adjusted by specific customer factors and forward-looking information that includes macroeconomic factors.

The Company determines the ECL based on the number of days of delay, which is determined to be predictive of the risk of loss in accordance with Egyptian Accounting Standard No. 47 Financial Instruments.

The determinants of expected developmental losses result in three scenarios (Probability of Default - Vulnerability to ECL - Loss at Default).

Weighted ECL is calculated at three levels basic - best - worst for all three stages (12 months and lifetime ECL).

Customer indebtedness is written off (either partially or in full) when there is no reasonable expectation of recovery of all or part of the financial asset. This is generally the case when the company determines that the lessee does not have assets or sources of income that could generate sufficient cash flow to pay the amounts subject to the write-off.

This assessment is carried out on an individual level for each client. Recoveries of amounts that were previously written off are included in the "impairment losses of financial instruments" in the statement of profit or loss and other comprehensive income.

The financial assets that have been written off may remain subject to legal procedures in application of the company's procedures to recover the amounts due.

A three-stage approach is applied to measure the expected credit losses from financial assets recorded at amortized cost and debt instruments at fair value through other comprehensive



income. The assets move between the following three stages based on the change in credit quality since its first recognition as follows:

**Stage one: 12-month expected credit loss.**

The first stage includes financial assets on initial recognition that do not have a significant increase in credit risk since initial recognition or that have relatively low credit risk. For these assets, 12-month expected credit losses are recognized and interest is calculated on the total carrying amount of the assets (without deducting the provision for credit). ECL is the expected credit loss that may result from potential failures within 12 months after the date of the financial statements.

**Stage Two: Lifetime Expected Credit Loss - With no credit impairment**

The second stage includes financial assets that have a significant increase in credit risk from initial recognition, but there is no objective evidence of impairment. Expected credit losses are recognized over the life of the assets, but interest continues to be calculated on the total book value of the assets. Lifetime expected credit loss The expected credit loss arising from all possible failures over the expected life of the financial instrument.

**Stage Three: Lifetime Expected Credit Loss - Credit Impairment**

The third stage includes financial assets for which there is objective evidence of impairment at the date of the financial statements. For these assets, expected impairment losses are recognized over the life.

**Non-Financial Assets**

The book values of the company's non-financial assets other than deferred tax assets are reviewed on the date of financial statements to determine whether there is an impairment indicator. Impairment loss is recognized if the book value of the asset or its cash-generating unit exceeds its recovery value. The cash-generating unit is the smallest identifiable set of assets that generate inward cash flows and are largely independent of cash flows from other assets or asset groups. The loss of impairment is recognized in the profit or loss statement. The recovery value of the asset or unit generating cash is its usage value or fair value, minus the sales costs, whichever is larger.

Impairment losses recognized in previous periods of other assets are reviewed in the financial statements 's history. If there are indications of a decrease or absence of loss. The impact of impairment losses is reversed within limits where the book value of the asset does not exceed Its value that would have been determined (after depreciation) if the loss of impairment hasn't been recognized.

The company relies on calculating the decrease in value based on a detailed balance and forecast calculations, which are prepared separately for each cash generating unit of the company where the individual asset is allocated covering the financial statements forecasts usually a period of one to five years, the long-term growth rate is calculated and applied to the future cash flows of the project after the fifth year.

Impairment losses are included in the independent comprehensive income statement among expenses that correspond to the low-value asset function.

**De-Recognition of Financial Assets**

The company only cancels the recording of financial asset when:

The expiration of contractual rights in the cash flows of the financial asset.

The transfer of contractual rights in receiving cash flows from the financial asset and transfer approximately all risks and rewards of ownership of the high asset or maintaining contractual rights to receive cash flows from the financial asset with a contractual obligation to pay cash flows to one or more recipients and transfer approximately all risks and rewards of ownership of the financial asset.

The transfer of contractual rights to receive cash flows from the financial asset without transferring or meeting approximately all risks and rewards for ownership of the financial asset if it has not retained control of the financial asset. Or maintaining contractual rights to receive cash flows from the financial asset, with a contractual obligation to pay cash flows to one or more recipients without transferring or to maintain approximately all risks and rewards for ownership of the financial asset if they have not maintained control of the financial asset.

When derecognizing the financial asset, the difference between the book value (measured on the date of cancellation)

The corresponding recipient (including any new asset obtained minus any new obligation that has been borne) is recorded in the profit or loss statement.

#### **Financial Obligations**

Financial obligations when it's first recorded are classified at fair value through profit or loss and the costs of direct transaction are recorded in the profit, loss and other comprehensive profit or loss statement when incurred. Financial obligations are measured at fair value through profits or losses at fair value and changes including any interest allowance are recorded in profit or loss and other comprehensive income non-derivative financial obligations are measured initially at fair value minus any direct transaction costs subsequent to the initial record of the obligation, which are measured at the cost consumed using the actual interest rate.

#### **Classification And Subsequent Measurement**

The Company categorizes all financial obligations as subsequently measured by the cost consumed except financial obligations at fair value through the profit, loss and other comprehensive income statement - financial obligations established when transferring an ineligible financial asset for exclusion or when applying the continuous participation method.

#### **Financial Guarantee Contracts**

All financial obligations of the Company are subsequently carried out at the cost consumed using the actual interest rate, the cost consumed is calculated by taking into account any discount or in addition to acquisition, fees or costs that are great parts of the actual interest rate, and the actual interest rate is included as financing costs in case of profit or loss.

#### **De-recognition of financial obligations**

The recording of financial obligations is cancelled when contractual obligations are paid, cancelled or expired, and when an existing financial obligation is replaced by another lender on completely different terms, or when the terms of a current obligation are fundamentally adjusted, such replacement or modification is treated as cancellation under the original financial obligation with the recording of the new obligation, the difference between the

relevant book value in the statement of profit or loss and other comprehensive income is established.

**Clearing financial instruments**

Assets and financial obligations are cleared and net positioned on the financial position statement when there is a binding statutory right to settle the fixed amounts and when there is an intention to settle assets with net obligations in order to sell assets and pay off obligations simultaneously.

**Managing Risks related to Financial Instruments**

The financial tools for balance sheet accounts are cash, debit and credit balances and balances with banks. The following are the most important risks related to these financial tools and the most important procedures that the company follows to reduce the impact of these risks:

**A. Credit Risk**

Credit risk is the inability of one client to a financial asset to meet its obligations, causing a financial loss to the other client. To reduce this risk, the company distributes the indebtedness to many clients with strong and stable financial positions. The company also obtains, whenever possible, appropriate guarantees to reduce the credit risk to a minimum. Also, bank balances are deposited with financial institutions of good credit standing.

**B. Liquidity Risk**

The liquidity risk represents factors that could affect the full or partial repayment of the company's commitments when due. The company's approach is to ensure a sufficient level of liquidity is available to meet its liabilities when due.

**C. Foreign Currency Risk**

Foreign currency risk is the risk of loss resulting from changes in exchange rates. To minimize the effects of such risk, the company considers balancing its foreign currencies positions.

**D. Capital Management Risk**

The company's policy regarding capital management is to maintain a strong capital base to maintain equity, creditors and market confidence as well as the continued development of the company's activity in the future and to maintain the best structure for total investment.

**3.10 Revenues and financing costs**

The company's finances and revenues include the following:

- Credit interest (using the effective interest rate).
- Debit Interest (using the effective interest rate).
- Gains or losses from currency differences related to the translation of financial assets and liabilities.

**3.11 Expense**

All procurement and sales expenses, including general and administrative expenses, are recognized in accordance with the basis of maturity.

### **3.12 Income Tax**

Current tax and deferred tax are recognized as revenue or as an expense in period profits or losses, except in cases where the tax arises from a process or event recognized - in the same period or in a different period - outside profits or losses either in other comprehensive income or within the rights of partners directly or grouping businesses.

#### **Current income taxes**

Current taxes are recognized for the current period and previous periods that have not yet been paid as a liability, but if taxes already paid in the current period and previous periods exceed the value due for these periods, this increase is recognized as an asset. Current tax liability values for the current period and previous periods are measured by the expected value of their return from tax administration, using tax rates or applicable tax laws or in the process of being issued at the end of the financial period.

#### **Deferred Income Taxes**

Deferred tax is recognized for temporary differences between the accounting basis of assets and liabilities and the tax basis of those assets and liabilities. Deferred tax is recognized for all temporary differences expected to be taxed except for the following:

First recognition of the asset or practical obligation that does not affect net accounting profit or tax profit (tax loss: temporary differences associated with investments in subsidiaries and associate companies and shares in joint ventures to the long term in which the timing of the reversal of those temporary differences can be controlled and it is likely that such differences will not be reversed in the foreseeable future

The tax asset arising from the deportation of tax losses, the right to unused tax deduction and temporary deductible differences is recognized when there is a strong possibility that taxable profits can be made in the future through which the asset can be used. Future tax profit is determined by the company's future business plan. The location of unrecognized deferred tax assets is revalued at the end of each financial period and recognizes previously unrecognized deferred tax assets to the extent to which a tax profit is likely in the future to accommodate the value of the deferred tax asset. Deferred tax is measured using tax rates expected to be applied when temporary differences are achieved using applicable or in the process of issuing tax rates - when measuring deferred tax at the end of the financial period, the tax effects of the company's procedures for recovery or payment of the book value of its assets and obligations are taken into account.

No clearing of tax assets and obligations is made unless certain conditions are met

Deferred tax assets of the facility are recognized when there is a strong possibility that taxable profits can be made in the future through which this asset can be used and the value of deferred tax assets is reduced by the value of the portion from which the expected tax benefit will not be realized in the following years.

### **3.13 Accounts Receivable, Debtors and other Debt Balances**

Account receivable, debtors and other debit balances are recorded in the name value deducting any doubtful amounts which estimated at the end of the year when not probably collected the full amount, also decreasing customer's value and debtors value when definite

the poor debts, and other debit balances recorded in the cost deducting the impairment losses value.

### **3.14 Reserves**

#### **Legal Reserve**

According to the company's articles of association, 5% of the net profit is set aside to form a legal reserve. This percentage is stopped to be set aside if this reserve reaches 100% of the paid-up capital, and when the reserve is short, it is necessary to return to the deduction.

#### **Investment projects financing reserve**

Formed according to what was stated in the company's articles of association Article (52) Clause (5) and carried forward on the proposal of the Board of Directors to the next year or allocated to the creation of reserve money or money for extraordinary consumption

#### **General Reserve**

It shall be in accordance with Article (52) Clause (5) of the Articles of Association and this reserve is general to provide the company's self-financing to be invested in its various aspects of its activities, which leads to an increase in the company's working capital and the

#### **Capital reserves**

It represents the capital reserve and is formed by the value of the profits resulting from the sale of any fixed asset or compensation for it for more than its book value.

#### **Other reserves**

The general assembly may, upon the proposal of the Board of Directors, create other reserves

### **3.15 Creditors and other credit accounts**

Creditors and other credit accounts are proven at face value and obligations (receivables) are recognized in future values for goods and services received.

### **3.16 Borrowing and credit facilities**

#### **Borrowing cost borrowing**

The initial recognition of the loans and credit facilities obtained by the company at fair value less the cost of the transaction, and these loans and facilities are subsequently measured by the cost consumed, with the profit or loss statement recognized by the difference between cash receipts from loans (less the cost of the transaction) and the value to be repaid on the maturity date over the life of the loan or facilitation using the actual interest method.

#### **Cost of borrowing**

The cost of borrowing is recorded as expenses incurred on the year in which the company incurred this cost and the borrowing costs incurred to finance fixed assets during the construction period are capitalized until the asset is economically ready for use.

#### **Start capitalization.**

Start capitalization of the cost of borrowing as part of the cost of the qualifying asset to bear the cost of borrowing when:

- The asset is spent.
- The origin incurred a borrowing cost.

-Activities to prepare the asset for use for its specific purposes or sale to third parties are currently being implemented.

**Capitalization suspension**

You should stop capitalizing the cost of borrowing during periods when effective asset construction is disrupted.

**Stop capitalization**

The borrowing cost capitalization process must be completed when all the essential activities necessary to prepare the eligible asset are completed to bear the cost of borrowing for use for its specific purposes or to sell it to third parties.

When parts of the asset eligible for borrowing are completed and each part can be used as the construction of the rest of the other parts continues, the borrowing cost capitalization of the finished parts should be discontinued as long as all essential activities necessary to prepare these parts are completed for use for specific purposes or for sale to third parties.

**3.17 Impairment of assets:**

**Financial assets**

The book value of company-owned assets - other than inventory and deferred tax assets - is reviewed on budget date to determine whether there are any indications of a decrease in their value and if such indicators exist, studies are prepared to determine the expected recovery value.

If the redemption value of the asset is lower than its book value, the loss of the depreciation of the asset is included as an expense in the profit or loss statement, after deducting any surplus revaluation previously configured for the same asset, and if the asset's recovery value is higher than its book value, the increase value is added to the shareholders' equity, but after deducting the losses of the decrease of the same asset loaded as an allowance that has already been included in the profit or loss statement.

**Non-financial assets**

The amount of cancellation of asset impairment losses is recognized as income unless the related assets are registered at a revalued value, in which case this cancellation is treated as an increase in the result of the revaluation value.

**Transactions with related parties**

The relevant parties are partners, directors and senior management of the company, and also represent companies controlled or jointly controlled or influential influence by those relevant parties, and the pricing terms and policies of transactions with the relevant parties are adopted by the Board of Directors and on the same grounds as dealing with third parties.

**3.18 Employee benefits**

**3.18.1 Insurance and pension system**

The company has one type of pension system, namely the defined contribution system, in which the company pays its subscription to the General Authority for Social Insurance systems on a mandatory basis, and the company has no other obligations once it has paid its obligations and recognizes the normal contributions as a periodic cost in the year of maturity and is included within the cost of employment.

**3.18.2 Employees' share of profits**

According to the company's articles of association, a percentage of the net profits of the year is allocated for distribution to the company's employees and workers in accordance with the rules proposed by the company's board of directors and approved by the general assembly. No obligations are recorded for the employees' share of profits before the approval of the general assembly.

**3.18.3 End of Service Benefits**

The employee's end-of-service gratuity is due upon reaching the age of referral for the legal pension, and it is disbursed in accordance with the end-of-service gratuity regulation approved by the Board of Directors.

**3.19 Amended Egyptian Accounting Standards**

Minister of Investment Decision No. (110) of 2015 was issued on July 9, 2015 regarding the issuance of the Egyptian Accounting Standards, to be implemented as of January 1, 2016.

**3.20 Other comprehensive income statement**

Income and expenses items (including re tab adjustments that are not recognized in profits or losses include the "profit or loss statement" as required or permitted by other Egyptian accounting standards.

**3.21 Total comprehensive income statement**

It's the change in the rights of partners during the year resulting from other transactions and events except changes resulting from transactions with owners as such, and total comprehensive income includes all items of both "profits or losses" and "other.

**3.22 Statement Of Cash Flows**

The cash flow statement is prepared using the indirect method and includes cash and cash in its judgment on cash balances in the Fund, bank current accounts and short-term deposits.

**3.23 Capital**

**Common stock**

Transaction costs directly related to the issue of ordinary shares are accounted for by deducting from equity, income tax associated with transaction costs related to equity is accounted for in accordance with Egyptian Accounting Standard No. (24) "Income Taxes".

**3.24 Cash and Cash Equivalents:**

For the purpose of preparing the statement of cash flows, cash and cash equivalents comprise cash balances of banks, funds and demand deposits, as well as bank overdraft balances payable on demand, which form an integral part of the Company's money management system.

**3.25 Dividends**

Dividends are established as obligations in the fiscal year in which these distributions are approved by the General Assembly.

**3.26 Earnings per share Profit (losses)**

The basic share of profits (losses) is calculated by dividing the net profit or (losses) for the year / period by the weighted average number of shares outstanding during the year / period. The statement is as if this event had taken place at the beginning of the first financial period to be presented in the submitted financial statements. The employees' share of profits and the share of the board of directors shall be deducted from the net profit of the year. It is sufficient to show the clarification of the share's share of profits in the consolidated financial statements only, in application of paragraph No. (4) According to the Egyptian Accounting Standard No. (22).



**EGYPTIAN INTERNATIONAL PHARMACEUTICAL INDUSTRIES - EPICO**  
**Notes To the Consolidated Financial Statements for The Year Ended December 31, 2023**

**4 FIXED ASSETS (NET)**

| <u>Description</u>                                | <u>Land</u>       | <u>Buildings</u>   | <u>Machines and<br/>equipment</u> | <u>Transportation<br/>and vehicles</u> | <u>Tools &amp;<br/>equipment's</u> | <u>Furniture</u>   | <u>Total</u>         |
|---------------------------------------------------|-------------------|--------------------|-----------------------------------|----------------------------------------|------------------------------------|--------------------|----------------------|
|                                                   | <u>L.E</u>        | <u>L.E</u>         | <u>L.E</u>                        | <u>L.E</u>                             | <u>L.E</u>                         | <u>L.E</u>         | <u>L.E</u>           |
| <b>Cost as of 1/1/2023</b>                        | 83,186,032        | 543,843,002        | 1,542,992,241                     | 105,452,905                            | 97,071,982                         | 146,308,160        | <b>2,518,854,322</b> |
| Additions during the year                         | --                | --                 | 71,870,546                        | 4,387,406                              | 11,085,809                         | 9,752,173          | <b>97,095,934</b>    |
| Disposals during the year                         | --                | (985,124)          | (2,103,029)                       | (2,620,584)                            | (1,013,883)                        | (299,721)          | <b>(7,022,341)</b>   |
| <b>Costs as of 31/12/2023</b>                     | <b>83,186,032</b> | <b>542,857,878</b> | <b>1,612,759,758</b>              | <b>107,219,727</b>                     | <b>107,143,908</b>                 | <b>155,760,612</b> | <b>2,608,927,915</b> |
| Accumulated Depreciation at<br>1/1/2023           | --                | 266,648,127        | 1,016,637,536                     | 92,689,690                             | 74,545,357                         | 98,419,505         | <b>1,548,940,215</b> |
| Depreciation of the year                          | --                | 9,096,256          | 70,158,817                        | 2,709,486                              | 8,443,696                          | 12,267,525         | <b>102,675,780</b>   |
| Accumulated of Disposals                          | --                | <b>(985,124)</b>   | (1,653,008)                       | (2,442,188)                            | (960,991)                          | (292,138)          | <b>(6,333,449)</b>   |
| <b>Accumulated Depreciation at<br/>31/12/2023</b> | --                | <b>274,759,259</b> | <b>1,085,143,345</b>              | <b>92,956,988</b>                      | <b>82,028,062</b>                  | <b>110,394,892</b> | <b>1,645,282,546</b> |
| <b>Net cost in 31/12/2023</b>                     | <b>83,186,032</b> | <b>268,098,619</b> | <b>527,616,413</b>                | <b>14,262,739</b>                      | <b>25,115,846</b>                  | <b>45,365,720</b>  | <b>963,645,369</b>   |

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**5 RIGHT USE OF ASSETS (NET)**

|                                         | <b><u>Right of use</u></b><br><b><u>assets</u></b><br><b><u>L.E.</u></b> | <b><u>Total</u></b><br><b><u>L.E.</u></b> |
|-----------------------------------------|--------------------------------------------------------------------------|-------------------------------------------|
| Balance at 1/1/2023                     | 3,703,952                                                                | 3,703,952                                 |
| Additions                               | 2,270,094                                                                | 2,270,094                                 |
| Disposals                               | --                                                                       | --                                        |
| <b>Total cost at 31/12/2023</b>         | <b>5,974,046</b>                                                         | <b>5,974,046</b>                          |
| Accumulated Amortization at 1/1/2023    | (1,868,782)                                                              | (1,868,782)                               |
| Accumulated Amortization of disposals   | --                                                                       | --                                        |
| Amortization during the year            | (2,082,510)                                                              | (2,082,510)                               |
| <b>Total Amortization at 31/12/2023</b> | <b>(3,951,292)</b>                                                       | <b>(3,951,292)</b>                        |
| <b>Net cost at 31/12/2023</b>           | <b>2,022,754</b>                                                         | <b>2,022,754</b>                          |
| <b>Net cost at 31/12/2022</b>           | <b>1,835,170</b>                                                         | <b>1,835,170</b>                          |

**6 PROJECTS UNDER CONSTRUCTION**

|                        | <b><u>31/12/2022</u></b><br><b><u>L.E.</u></b> | <b><u>Additional</u></b><br><b><u>during the year</u></b><br><b><u>L.E.</u></b> | <b><u>Transferred</u></b><br><b><u>to fixed assets</u></b><br><b><u>L.E.</u></b> | <b><u>31/12/2023</u></b><br><b><u>L.E.</u></b> |
|------------------------|------------------------------------------------|---------------------------------------------------------------------------------|----------------------------------------------------------------------------------|------------------------------------------------|
| Machines and equipment | 60,731,953                                     | 59,580,671                                                                      | (67,641,161)                                                                     | 52,671,463                                     |
| Transportations        | 176,535                                        | 2,888,826                                                                       | (3,065,361)                                                                      | --                                             |
| Tools & equipment      | 6,026,066                                      | 29,656,798                                                                      | (9,834,129)                                                                      | 25,848,735                                     |
| Decoration             | 7,444,711                                      | 2,302,558                                                                       | (2,073,722)                                                                      | 7,673,547                                      |
| Programs               | 11,962,406                                     | 38,920,050                                                                      | (2,196,570)                                                                      | 48,685,886                                     |
| Eipico 3               | 779,819,115                                    | 2,143,512,931                                                                   | --                                                                               | 2,923,332,046                                  |
|                        | <b>866,160,786</b>                             | <b>2,276,861,834</b>                                                            | <b>(84,810,943)</b>                                                              | <b>3,058,211,677</b>                           |

Capitalized interests on projects under construction amounted to L.E 149,516,577.

**7 INTANGIBLE ASSETS (NET):**

The result of revaluation of assets and liabilities and depreciation account arose upon the merger of the Egyptian Company for the Pharmaceutical Packaging Industry in the Egyptian International Company for Pharmaceutical Industries (EIPICO), according to an assessment that took place on 30/9/1999.

|                                                     | <b><u>Good will</u></b><br><b><u>L.E.</u></b> | <b><u>Programs</u></b><br><b><u>L.E.</u></b> | <b><u>Total</u></b><br><b><u>L.E.</u></b> |
|-----------------------------------------------------|-----------------------------------------------|----------------------------------------------|-------------------------------------------|
| Balance at 1/1/2023                                 | 370,000,000                                   | 3,532,086                                    | 373,532,086                               |
| Additions during the year                           | --                                            | 1,226,126                                    | 1,226,126                                 |
| <b>Total cost at 31/12/2023</b>                     | <b>370,000,000</b>                            | <b>4,758,212</b>                             | <b>374,758,212</b>                        |
| Accumulated amortization at 1/1/2023                | (370,000,000)                                 | (1,965,046)                                  | (371,965,046)                             |
| Amortization during the year                        | --                                            | (491,451)                                    | (491,451)                                 |
| <b>Total Accumulated amortization at 31/12/2023</b> | <b>(370,000,000)</b>                          | <b>(2,456,497)</b>                           | <b>(372,456,497)</b>                      |
| <b>Net cost at 31/12/2023</b>                       | <b>--</b>                                     | <b>2,301,715</b>                             | <b>2,301,715</b>                          |

## **8 INVESTMENTS IN SUBSIDIARIES AND RELATED COMPANIES** **SUBSIDIARIES COMPANIES**

### **8.1 Investments in subsidiaries**

|                                                        | <b><u>31/12/2023</u></b> | <b><u>31/12/2022</u></b> |
|--------------------------------------------------------|--------------------------|--------------------------|
|                                                        | <b><u>L.E.</u></b>       | <b><u>L.E.</u></b>       |
| EIPICO Tech Pharmaceutical Company (under liquidation) | 12,330,000               | 12,330,000               |
|                                                        | <b><u>12,330,000</u></b> | <b><u>12,330,000</u></b> |

#### **EIPICO Tech Pharmaceutical Company (under liquidation)**

EIPICO Tech Pharmaceutical Company is a joint stock company established in accordance with Investment Law No. (8) for the year 1997. The purpose is to manufacture human, veterinary and chemical medicines, diagnostic preparations, serums, special foods, pesticides, cosmetics, detergents, and the manufacture of packaging materials for these products. The Egyptian International Pharmaceutical Industries Company (EIPICO) is the main shareholder. In the capital of this company, it contributes 98.6% and the remaining 1.4% is a contribution from some employees of the EIPICO Pharmaceutical Company. The company (the capital) is represented in the lands for the establishment of the project, and the cash in the Egyptian pound is in the bank.

The Extraordinary General Assembly of EIPICO Tech met and a decision was taken to liquidate, the liquidator and the auditor for the liquidation were appointed, and measures are being taken by it to liquidate the company.

EPICO-tec has not engaged in any activity since its establishment until now. The company's assets are entirely in current assets in the form of cash in banks (current / deposits), which covers the equity of the capital, and accordingly, no impairment provision has been formed for this investment.

### **8.2 Investments in associates**

|                                                                               | <b><u>31/12/2023</u></b>  | <b><u>31/12/2022</u></b>  |
|-------------------------------------------------------------------------------|---------------------------|---------------------------|
|                                                                               | <b><u>L.E.</u></b>        | <b><u>L.E.</u></b>        |
| Al-Batterjee Factory for Pharmaceuticals and Medical Supplies in Saudi Arabia | 72,200,016                | 56,057,306                |
| Medical Union Pharmaceuticals                                                 | 394,290,857               | 296,284,727               |
|                                                                               | <b><u>466,490,873</u></b> | <b><u>352,342,033</u></b> |

#### **Al-Batterjee Factory for Pharmaceuticals and Medical Supplies:**

The contract was signed with the Saudi side, and the percentage of EIPICO's participation is 30% of the capital, equivalent to 35,900,976 Egyptian pounds, and it was paid in full. The company started its activities as of 2012 in the Kingdom of Saudi Arabia.

#### **Medical union Pharmaceuticals (MUP):**

were purchased 4,780,000 shares and representing 9.77% of the shares of the medical union Pharmaceuticals (MUP) Company until 31/12/2019, with a value of 211,167,305

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were purchased 112,331 shares from the shares of the of the medical union pharmaceuticals (MUP) Company at a price of 4,942,564 pounds, bringing the total number of shares acquired to 4,892,331 shares, at a rate of 10% Of the company's shares,

MUP with a total value of 216,109,869 pounds, until 3/31/2020.

Were purchased 1,825,000 shares from the shares of the of the medical union pharmaceuticals (MUP) Company at a price of 74,825,000 In subtracting an increase in capital to bring the total investment 290,934,869 pounds in order for EIPICO to retain 10% of the shares of the medical union Pharmaceuticals (MUP) Company, fully paid until 31/12/2020.

Were purchased 2,000,000 shares of MUP Company's shares for an amount of 84,000,000 pounds in the capital increase offering, bringing the total investments to 374,934,869 pounds, so that EIPICO will maintain 10% of Al-Mahan Company's shares, fully paid until 30/9/2023.

**9 INVENTORY (NET):**

|                                          | <b><u>31/12/2023</u></b> | <b><u>31/12/2022</u></b> |
|------------------------------------------|--------------------------|--------------------------|
|                                          | <b><u>L.E.</u></b>       | <b><u>L.E.</u></b>       |
| Materials                                | 730,455,350              | 867,416,725              |
| Fuels, oils and engines for operation    | 458,267                  | 1,821,739                |
| Spare Parts                              | 139,771,683              | 116,827,052              |
| Packing and warping material             | 567,270,630              | 422,815,833              |
| Production in progress                   | 276,870,362              | 234,804,124              |
| Finished goods                           | 265,395,859              | 240,072,146              |
| Consignment goods                        | 8,189,312                | 12,120,439               |
| Letters of credit                        | 316,613,899              | 324,570,368              |
| <b>Total</b>                             | <b>2,305,025,362</b>     | <b>2,220,448,426</b>     |
| <b>Impairment in inventory value (*)</b> | <b>(62,629,632)</b>      | <b>(58,649,002)</b>      |
| <b>Net</b>                               | <b>2,242,395,730</b>     | <b>2,161,799,424</b>     |

**(\*) Impairment in inventory value**

|                               | <b><u>Cost at</u></b>  | <b><u>Formed</u></b> | <b><u>Used</u></b>   | <b><u>Cost at</u></b>    |
|-------------------------------|------------------------|----------------------|----------------------|--------------------------|
|                               | <b><u>1/1/2023</u></b> | <b><u>during</u></b> | <b><u>during</u></b> | <b><u>31/12/2023</u></b> |
|                               | <b><u>L.E</u></b>      | <b><u>L.E.</u></b>   | <b><u>L.E.</u></b>   | <b><u>L.E</u></b>        |
| Write-down in inventory value | 58,649,002             | 87,000,000           | 83,019,370           | 62,629,632               |
|                               | <b>58,649,002</b>      | <b>87,000,000</b>    | <b>83,019,370</b>    | <b>62,629,632</b>        |

**EGYPTIAN INTERNATIONAL PHARMACEUTICAL INDDUSTRIES - EPICO**  
**Notes To the Consolidated Financial Statements for The Year Ended December 31, 2023**

**10 ACCOUNTS AND NOTES RECIEVABLE (NET):**

|                                                      | <u>31/12/2023</u>    | <u>31/12/2022</u>    |
|------------------------------------------------------|----------------------|----------------------|
|                                                      | <u>L.E.</u>          | <u>L.E.</u>          |
| Local customer                                       | 405,620,755          | 370,551,238          |
| Export customer                                      | 875,801,448          | 667,253,099          |
| Notes Receivable                                     | 1,204,434,164        | 847,843,395          |
| <b>Total</b>                                         | <b>2,485,856,367</b> | <b>1,885,647,732</b> |
| Impairment of expected credit losses (customers) (*) | (128,000,895)        | (91,225,088)         |
| <b>Net</b>                                           | <b>2,357,855,472</b> | <b>1,794,422,644</b> |

**(\*) expected credit losses (customers)**

|                                    | <u>Cost at</u><br><u>1/1/2023</u> | <u>Formed</u><br><u>during</u><br><u>period</u> | <u>Used</u><br><u>during</u><br><u>period</u> | <u>Cost at</u><br><u>31/12/2023</u> |
|------------------------------------|-----------------------------------|-------------------------------------------------|-----------------------------------------------|-------------------------------------|
|                                    | <u>L.E.</u>                       | <u>L.E.</u>                                     | <u>L.E.</u>                                   | <u>L.E.</u>                         |
| expected credit losses (customers) | 91,225,088                        | 39,000,000                                      | 2,224,193                                     | 128,000,895                         |
|                                    | <b>91,225,088</b>                 | <b>39,000,000</b>                               | <b>2,224,193</b>                              | <b>128,000,895</b>                  |

**11 DEBTORS AND OTHER DEBIT BALANCES:**

|                                              | <u>31/12/2023</u>  | <u>31/12/2022</u>  |
|----------------------------------------------|--------------------|--------------------|
|                                              | <u>L.E.</u>        | <u>L.E.</u>        |
| Insurance with others                        | 8,511,035          | 6,864,564          |
| advance payments (Taxes – insurance)         | 117,640,496        | 52,853,231         |
| Advance payment suppliers                    | 29,020,575         | 10,414,854         |
| Suppliers (Debtors Balance)                  | 5,225,067          | 6,636,382          |
| Compensation Due from insurance company      | 670,107            | 12,700,979         |
| Refund of customs duties owed (Adjudication) | --                 | 6,044,228          |
| Gas settlement                               | 6,589,259          | 10,419,563         |
| Other                                        | 30,074,490         | 24,635,415         |
| <b>Total</b>                                 | <b>197,731,029</b> | <b>130,569,216</b> |

**12 CASH AND CASH EQUIVALENT**

|                                 | <u>31/12/2023</u>  | <u>31/12/2022</u>  |
|---------------------------------|--------------------|--------------------|
|                                 | <u>L.E.</u>        | <u>L.E.</u>        |
| Cash in hand                    | 9,953,342          | 7,446,492          |
| Bank – Local currency           | 94,197,738         | 76,092,848         |
| Bank – Foreign currency         | 26,697,765         | 16,017,866         |
| Bank deposits – Local currency  | 1,947,300          | 43,973,237         |
| Bank deposits– Foreign currency | 536,895,303        | 321,620,000        |
| Bank Masr day by day account    | 6,106,797          | 7,610,036          |
| Treasury bills                  | --                 | 10,208,899         |
| <b>Total</b>                    | <b>675,798,245</b> | <b>482,969,378</b> |

**13 CAPITAL:**

**EGYPTIAN INTERNATIONAL PHARMACEUTICAL INDUSTRIES - EPICO**  
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The authorized capital of the company is 850 million pounds (eight hundred and fifty million Egyptian pounds) The issued and subscribed capital amounts to an amount 793,364,000 pounds Paid in full and worth 793,364,000 Fully paid, its value is 79,336,400 shares. The nominal value of the share is 10 pounds.

In accordance with the decision of the company's general assembly held on 27/3/ 2010, it was approved to increase the capital from 721,240,000 to 793,364,000 With an increase of 72,124,000 pounds, financed from the profits distributed to shareholders by 10% From the issued and paid-up capital before the increase to finance the company's expansions and investments with the amendment of Articles 6 and 7 of the company's articles of association. The capital increase was entered in the commercial register on 24/6/2010.

According to the decision of the Extraordinary General Assembly held on 30/4/2018, the authorized capital was increased from 850 million to 1500 million pounds. And approving the increase in the issued capital from 793,364,000 pounds to 991,705,000 pounds Where it was approved to increase the issued capital in the ordinary assembly on 30/4/2018, after the extraordinary general assembly enjoyed the distribution of a free share for every four original shares to be financed from the investment projects financing reserve, and the decision of the increase was approved on 1/2019

The capital increase was entered in the commercial register on 1/2019

In accordance with the decision of the company's general assembly held on 1/4/2023, it was approved to increase the capital from 991,705,000 to 1,487,557,500 With an increase of 495,852,500 pounds, financed from the cash payment from shareholders by 50% From the issued and paid-up capital before the increase to finance the company's expansions and investments with the amendment of Articles 6 and 7 of the company's articles of association.

| <b><u>Shareholders</u></b>                                        | <b><u>Shares</u></b> | <b><u>Percentage</u></b> |
|-------------------------------------------------------------------|----------------------|--------------------------|
|                                                                   | <b><u>No.</u></b>    | <b><u>%</u></b>          |
| Arab Company for Pharmaceutical Industries and Medical Appliances | 74,387,504           | 50.01%                   |
| Medical Union investments                                         | 6,699,658            | 4.50%                    |
| Egyptian Medical Syndicate                                        | 5,203,485            | 3.50%                    |
| Other shareholders                                                | 62,465,103           | 41.99%                   |
| <b>Total</b>                                                      | <b>148,755,750</b>   | <b>100%</b>              |

**EGYPTIAN INTERNATIONAL PHARMACEUTICAL INDUSTRIES - EPICO**  
**Notes To the Consolidated Financial Statements for The Year Ended December 31, 2023**

**14 RESERVES**

|                                                          | <u>31/12/2022</u>           | <u>Additional</u><br><u>(Deductions)</u> | <u>31/12/2023</u>           |
|----------------------------------------------------------|-----------------------------|------------------------------------------|-----------------------------|
|                                                          | <u>L.E</u>                  | <u>L.E.</u>                              | <u>L.E</u>                  |
| Legal Reserves                                           | 369,671,007                 | 32,254,607                               | 401,925,614                 |
| General Reserves                                         | 171,394,890                 | --                                       | 171,394,890                 |
| Capital Reserves                                         | 20,160,435                  | --                                       | 20,160,435                  |
| Reserve for financing investment projects and expansions | 941,659,000                 | 300,000,000                              | 1,241,659,000               |
| <b>Total</b>                                             | <b><u>1,502,885,332</u></b> | <b><u>332,254,607</u></b>                | <b><u>1,835,139,939</u></b> |

**15 RETAINED EARNINGS**

|                                  | <u>31/12/2023</u>        |
|----------------------------------|--------------------------|
|                                  | <u>L.E</u>               |
| The balance at 31/12/2022        | 74,145,367               |
| Retained Earnings from dividends | 3,727,569                |
| <b>The balance at 31/12/2023</b> | <b><u>77,872,936</u></b> |

**16 THE NET PROFIT OF PERIOD /YEAR**

|                                             | <u>31/12/2023</u>         | <u>31/12/2022</u>         |
|---------------------------------------------|---------------------------|---------------------------|
|                                             | <u>L.E</u>                | <u>L.E</u>                |
| The net profit of the year before dividends | 822,317,715               | 642,982,324               |
| <b>Total</b>                                | <b><u>822,317,715</u></b> | <b><u>642,982,324</u></b> |

**17 LONG TERM LOANS**

|                                         | <u>31/12/2023</u>           | <u>31/12/2022</u>         |
|-----------------------------------------|-----------------------------|---------------------------|
|                                         | <u>L.E</u>                  | <u>L.E</u>                |
| QNB Al Ahli Bank – dollar               | 2,002,447,740               | 539,511,563               |
| NBK – Local currency                    | 102,321,467                 | 123,354,000               |
| NBK – Euro                              | 160,020,502                 | 72,753,600                |
| NBK – Dollar                            | 21,302,885                  | --                        |
| Banque du Caire – Dollar                | 314,657,384                 | --                        |
| Abu Dhabi Islamic Bank – local currency | 231,566,844                 | --                        |
| <b>Total</b>                            | <b><u>2,832,316,822</u></b> | <b><u>735,619,163</u></b> |

- Terms: for a period of seven years (two years of grace – five years of payment)
- Warranties: without guarantees.

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**18 LONG TERM CREDIT FACILITIES**

|                         | <u>31/12/2023</u> | <u>31/12/2022</u> |
|-------------------------|-------------------|-------------------|
|                         | <u>L.E</u>        | <u>L.E</u>        |
| QNB Al Ahli - dollar    | --                | 55,480,181        |
| National bank of Kuwait | --                | 21,032,000        |
|                         | <u>--</u>         | <u>76,512,181</u> |

- Terms and Guarantees: at an interest rate of 8% and without guarantees.

**19 LEASE LIABILITY**

|                      | <u>Total</u>     | <u>Added</u>     | <u>Paid</u>        | <u>Interest</u> | <u>Balance as of</u> |
|----------------------|------------------|------------------|--------------------|-----------------|----------------------|
|                      | <u>Contracts</u> |                  |                    |                 | <u>31/12/2023</u>    |
|                      | <u>L.E.</u>      | <u>L.E</u>       | <u>L.E.</u>        | <u>L.E.</u>     | <u>L.E.</u>          |
| Buildings            | 2,184,362        | 2,270,094        | (2,129,260)        | 233,146         | 2,325,196            |
| Adds during the year | --               | --               | --                 | --              | --                   |
| Total                | <u>2,184,362</u> | <u>2,270,094</u> | <u>(2,129,260)</u> | <u>233,146</u>  | <u>2,325,196</u>     |

**Classified into:**

|                            |                  |
|----------------------------|------------------|
| Short term Lease Liability | 2,190,480        |
| Long term Lease Liability  | 134,716          |
|                            | <u>2,325,196</u> |

**20 DEFERRED TAX LIABILITIES**

|                                                  | <u>31/12/2023</u>        | <u>31/12/2022</u>        |
|--------------------------------------------------|--------------------------|--------------------------|
|                                                  | <u>L.E</u>               | <u>L.E.</u>              |
| Deferred tax liabilities                         | 61,459,808               | 65,502,703               |
| Deferred tax liabilities (End service provision) | (6,666,840)              | (6,562,199)              |
| <b>The balance of deferred tax liabilities</b>   | <u><b>54,792,968</b></u> | <u><b>58,940,504</b></u> |

**21 PROVISIONS**

|                           | <u>Transaction during the year</u> |                           |                            |
|---------------------------|------------------------------------|---------------------------|----------------------------|
|                           | <u>31/12/2022</u>                  | <u>Add</u>                | <u>Used</u>                |
|                           | <u>L.E</u>                         | <u>L.E</u>                | <u>L.E</u>                 |
| Other Provision           | 61,726,308                         | 75,000,000                | --                         |
| Claims Provisions         | 24,501,733                         | 29,000,000                | (28,698,842)               |
| End of Services provision | 29,165,326                         | 35,000,000                | (34,534,926)               |
| <b>Total</b>              | <u><b>115,393,367</b></u>          | <u><b>139,000,000</b></u> | <u><b>(63,233,768)</b></u> |

**\*\*\*Formed Provision on December 31, 2023**

|                           | <u>31/12/2023</u>         | <u>31/12/2022</u>         |
|---------------------------|---------------------------|---------------------------|
| Other Provision           | 75,000,000                | 32,000,000                |
| Claims Provisions         | 29,000,000                | 47,000,000                |
| End of Services provision | 35,000,000                | 41,000,000                |
| <b>Total</b>              | <u><b>139,000,000</b></u> | <u><b>120,000,000</b></u> |



**EGYPTIAN INTERNATIONAL PHARMACEUTICAL INDUSTRIES - EPICO**  
**Notes To the Consolidated Financial Statements for The Year Ended December 31, 2023**

**22 CREDIT BANKS (FACILITIES)**

|                                 | <b><u>31/12/2023</u></b>    | <b><u>31/12/2022</u></b>    |
|---------------------------------|-----------------------------|-----------------------------|
|                                 | <b><u>L.E</u></b>           | <b><u>L.E</u></b>           |
| Banque du Caire. Al-Azhar       | 294,617,330                 | 235,065,228                 |
| Bank Bloom Egypt.               | --                          | 7,238,976                   |
| QNB Al Ahli                     | 62,328,485                  | 469,014,627                 |
| Emirates National Bank of Dubai | 144,342,866                 | 90,379,155                  |
| Ahli United Bank                | 606,680,996                 | 368,837,276                 |
| National bank of Kuwait         | 195,917,744                 | 95,440,136                  |
| Suez Canal Bank                 | 186,088,222                 | 160,630,328                 |
| Abu Dhabi Islamic Bank          | 132,834,660                 | 284,055,480                 |
| Al Baraka Bank Egypt            | 118,292,849                 | 220,790,349                 |
| Egyptian Gulf Bank              | 152,580,046                 | --                          |
| QNB Al Ahli-USD                 | 151,648,252                 | 101,195,797                 |
| <b>Total</b>                    | <b><u>2,045,331,450</u></b> | <b><u>2,032,647,352</u></b> |

- Terms and Guarantees: at an interest rate of 8% and without guarantees.

**23 SUPPLIERS AND NOTES PAYABLES**

|                   | <b><u>31/12/2023</u></b>  | <b><u>31/12/2022</u></b>  |
|-------------------|---------------------------|---------------------------|
|                   | <b><u>L.E</u></b>         | <b><u>L.E</u></b>         |
| Local suppliers   | 80,618,881                | 67,040,370                |
| Foreign suppliers | 57,801,632                | 118,523,402               |
| Notes Payables    | 37,933,378                | 14,682,093                |
| <b>Total</b>      | <b><u>176,353,891</u></b> | <b><u>200,245,865</u></b> |

**24 CREDITORS AND OTHER CREDIT BALANCES**

|                                                          | <b><u>31/12/2023</u></b>  | <b><u>31/12/2022</u></b>  |
|----------------------------------------------------------|---------------------------|---------------------------|
|                                                          | <b><u>L.E</u></b>         | <b><u>L.E</u></b>         |
| Other creditors (insurance to others – social insurance) | 31,143,166                | 26,607,836                |
| Other creditors (tax authority)                          | 25,899,650                | 20,347,202                |
| Other creditors                                          | 11,597,022                | 3,894,042                 |
| Other credit balances                                    | 116,698,122               | 113,312,180               |
| Accrued and Specialized current expenses                 | 31,022,914                | 28,054,115                |
| Advanced payment receivables-local                       | 33,896                    | 29,536                    |
| <b>Total</b>                                             | <b><u>216,394,770</u></b> | <b><u>192,244,911</u></b> |
| Takaful Contribution                                     | 14,280,614                | 10,917,142                |
|                                                          | <b><u>230,675,384</u></b> | <b><u>203,162,053</u></b> |

**EGYPTIAN INTERNATIONAL PHARMACEUTICAL INDUSTRIES - EPICO**  
**Notes To the Consolidated Financial Statements for The Year Ended December 31, 2023**

**25 ACCRUED INCOME TAX**

|                    | <b><u>31/12/2023</u></b>  | <b><u>31/12/2022</u></b>  |
|--------------------|---------------------------|---------------------------|
|                    | <b><u>L.E.</u></b>        | <b><u>L.E.</u></b>        |
| Accrued Income Tax | 184,979,290               | 106,817,993               |
| <b>Total</b>       | <b><u>184,979,290</u></b> | <b><u>106,817,993</u></b> |

**26 NET SALES**

|                                       | <b><u>31/12/2023</u></b>    | <b><u>Percentage</u></b> | <b><u>31/12/2022</u></b>    | <b><u>Percentage</u></b> |
|---------------------------------------|-----------------------------|--------------------------|-----------------------------|--------------------------|
|                                       | <b><u>L.E.</u></b>          | <b><u>%</u></b>          | <b><u>L.E.</u></b>          | <b><u>%</u></b>          |
| Local sales "direct"                  | 1,166,383,441               | 22.36%                   | 850,315,526                 | %21.54                   |
| Local sales "distributors"            | 2,041,790,013               | 39.14%                   | 1,913,384,090               | %48.47                   |
| (-) Incentives for local distributors | (58,610,644)                | -1.12%                   | (132,839,589)               | (%3.36)                  |
| Local sales (tenders)                 | 475,015,846                 | 9.11%                    | 352,254,552                 | %8.92                    |
| Export                                | 1,630,849,275               | 31.26%                   | 1,015,268,217               | %25.72                   |
| (-) Export Distributors Incentives    | (38,842,250)                | (0.74%)                  | (50,163,735)                | (%1.28)                  |
| <b>Total net sales</b>                | <b><u>5,216,585,681</u></b> | <b><u>100%</u></b>       | <b><u>3,947,769,061</u></b> | <b><u>100%</u></b>       |
| Other operating income                | 15,079,890                  |                          | 7,387,621                   |                          |
| <b>Total sales revenue</b>            | <b><u>5,231,665,571</u></b> |                          | <b><u>3,955,156,682</u></b> |                          |

**27 COST OF SALES:**

|                                                                       | <b><u>31/12/2023</u></b>    | <b><u>31/12/2022</u></b>    |
|-----------------------------------------------------------------------|-----------------------------|-----------------------------|
|                                                                       | <b><u>L.E.</u></b>          | <b><u>L.E.</u></b>          |
| Salaries & Wages                                                      | 271,593,454                 | 246 910 393                 |
| Benefits " Treatment Expenses - Nutrition for workers expenses"       | 38,794,495                  | 29 380 057                  |
| Social Insurance                                                      | 32,797,748                  | 28 584 535                  |
| Commodity supplies "Materials"                                        | 1,460,691,093               | 1 028 128 585               |
| Commodity requirements "Packing and Packaging"                        | 893,431,340                 | 657 522 613                 |
| Commodity requirements " Spare Parts and Equipment"                   | 76,399,158                  | 66 323 258                  |
| Commodity supplies "Purchased for Sale"                               | 840,966                     | 15 950 377                  |
| Commodity requirements "fuel, oils, electricity, water and lighting"  | 101,532,231                 | 95 669 111                  |
| Commodity supplies "stationery and stationery"                        | 5,013,035                   | 4 624 134                   |
| Service requirements "Maintenance Exp."                               | 14,907,275                  | 12 127 644                  |
| Service requirements "operations for others exp"                      | 2,667,130                   | 263 892                     |
| Service supplies "Experimental and research services"                 | 2,693,309                   | 2 932 901                   |
| Service requirements "transportation, transfers and travel allowance" | 5,996,476                   | 2 277 408                   |
| Service necessities "renting transportation"                          | 1,576,799                   | 787 081                     |
| Service necessities "Insurance expenses"                              | 8,392,352                   | 3 151 923                   |
| Service necessities "Daily workers"                                   | 7,878,217                   | 4 930 460                   |
| Service requirements "other"                                          | 10,100,462                  | 8 041 790                   |
| Taxes and duties                                                      | 73,677                      | 41 917                      |
| Depreciation                                                          | 85,813,596                  | 80 129 666                  |
| Actual Rent                                                           | 28,460                      | --                          |
| (-) Sold production waste                                             | (20,275,915)                | (12 024 320)                |
| <b>Production cost</b>                                                | <b><u>3,000,945,358</u></b> | <b><u>2 275 753 425</u></b> |
| Change in inventory of finished and semi-finished cost                | (104,601,945)               | 26 215 414                  |
| <b>Cost of Sales</b>                                                  | <b><u>2,896,343,413</u></b> | <b><u>2 301 968 839</u></b> |

**EGYPTIAN INTERNATIONAL PHARMACEUTICAL INDUSTRIES - EPICO**  
**Notes To the Consolidated Financial Statements for The Year Ended December 31, 2023**

**28 MARKETING EXPENSES:**

|                                                                       | <b><u>31/12/2023</u></b>  | <b><u>31/12/2022</u></b>  |
|-----------------------------------------------------------------------|---------------------------|---------------------------|
|                                                                       | <b><u>L.E</u></b>         | <b><u>L.E.</u></b>        |
| Salaries & Wages                                                      | 247,534,568               | 223,863,290               |
| Benefits " Treatment Expenses - Nutrition for workers expenses"       | 15,018,939                | 11,411,116                |
| Social Insurance                                                      | 30,626,070                | 25,365,055                |
| Commodity supplies "marketing activities tasks"                       | 9,025,569                 | 13,856,548                |
| Commodity supplies "packing and packaging materials"                  | 2,359,714                 | 2,461,794                 |
| Commodity requirements "fuel, oils, electricity and water"            | 16,265,684                | 15,964,617                |
| Commodity supplies "stationery and stationery"                        | 1,906,204                 | 1,738,905                 |
| Service requirements "M. Maintenance"                                 | 5,899,007                 | 4,528,525                 |
| Service supplies "seminars and conferences - marketing activities"    | 90,555,278                | 82,501,216                |
| Service supplies "contribution to scientific offices"                 | 7,619,116                 | 4,978,546                 |
| Service requirements "transportation, transfers and travel allowance" | 54,847,710                | 56,540,130                |
| Service necessities "rental of vehicles"                              | 324,647                   | 375,541                   |
| Royalties                                                             | 11,786,017                | 5,291,196                 |
| Shipping expenses                                                     | 60,552,671                | 39,819,505                |
| Selling insurance expenses                                            | 4,225,770                 | 1,951,234                 |
| Insurance expenses "export"                                           | 5,526,705                 | 5,419,290                 |
| Free samples                                                          | 5,280,640                 | --                        |
| Other services                                                        | 44,444,368                | 17,948,085                |
| Merchandise taxes and duties                                          | 23,860,876                | 10,201,852                |
| Depreciation of fixed assets                                          | 10,125,052                | 11,612,537                |
| Actual rents                                                          | 507,076                   | 547,494                   |
| Compensation and fines                                                | --                        | 17,460,938                |
| <b>Total</b>                                                          | <b><u>648,291,681</u></b> | <b><u>553,837,414</u></b> |

**29 RESEARCH & DEVELOPMENT EXPENSES:**

|                                                                       | <b><u>31/12/2023</u></b> | <b><u>31/12/2022</u></b> |
|-----------------------------------------------------------------------|--------------------------|--------------------------|
|                                                                       | <b><u>L.E</u></b>        | <b><u>L.E.</u></b>       |
| Salaries & Wages                                                      | 18,151,169               | 16,023,010               |
| Benefits " Treatment Expenses - Nutrition for workers expenses"       | 1,234,096                | 966,050                  |
| Social Insurance                                                      | 1,562,975                | 1,449,722                |
| Commodity supplies "used materials"                                   | 6,274,423                | 5,304,453                |
| Service requirements "M. Maintenance"                                 | 906,657                  | 130,075                  |
| Service requirements "transportation, transfers and travel allowance" | 543,319                  | 528,356                  |
| Service necessities "rental of means of transport"                    | 37,813                   | 25,871                   |
| Service supplies "experiments and research"                           | 10,761,718               | 17,061,266               |
| Other services                                                        | 1,702,190                | 548,625                  |
| Merchandise taxes and duties                                          | 1,525                    | 1,376                    |
| Depreciation of fixed assets                                          | 2,051,184                | 1,643,636                |
| Actual rents                                                          | 716                      | 750                      |
| <b>Total</b>                                                          | <b><u>43,227,785</u></b> | <b><u>43,683,190</u></b> |

**EGYPTIAN INTERNATIONAL PHARMACEUTICAL INDUSTRIES - EPICO**  
**Notes To the Consolidated Financial Statements for The Year Ended December 31, 2023**

**30 GERNERAL & ADMINSTRATIVE EXPENSES:**

|                                                                       | <u>31/12/2023</u>  | <u>31/12/2022</u>  |
|-----------------------------------------------------------------------|--------------------|--------------------|
|                                                                       | <u>L.E</u>         | <u>L.E.</u>        |
| Salaries & Wages                                                      | 92,970,263         | 73,356,289         |
| Benefits " Treatment Expenses - Nutrition for workers expenses"       | 10,260,270         | 6,764,035          |
| Social Insurance                                                      | 8,039,777          | 6,027,464          |
| Commodity supplies "used materials"                                   | 6,748,586          | 5,193,904          |
| Service requirements "M. Maintenance"                                 | 1,216,593          | 1,228,255          |
| Service requirements "transportation, transfers and travel allowance" | 3,857,007          | 2,532,347          |
| Service necessities "rental of vehicles"                              | 363,751            | 185,633            |
| Allowance for "technical - review - legal" committees                 | 720,000            | 773,000            |
| Other services                                                        | 13,670,942         | 8,011,379          |
| Merchandise taxes and duties                                          | 61,642             | 14,771             |
| Dividend taxes                                                        | 4,123,733          | 3,433,333          |
| Depreciation of fixed assets                                          | 3,248,173          | 2,995,800          |
| Actual rent                                                           | 35,849             | 5,666              |
| Donations                                                             | 6,227,448          | 19,682,127         |
| Compensation and fines (Delay fines and deliveries)                   | --                 | 36,000             |
| Property taxes                                                        | 40,693             | 652,035            |
| <b>Total</b>                                                          | <b>151,584,727</b> | <b>130,892,038</b> |

**31 FINANCING EXPENSES:**

|                                    | <u>31/12/2023</u>  | <u>31/12/2022</u>  |
|------------------------------------|--------------------|--------------------|
|                                    | <u>L.E</u>         | <u>L.E.</u>        |
| Debit Interest "credit facilities" | 388,524,107        | 195,420,689        |
| Commission and bank charges        | 17,398,449         | 13,544,776         |
| Check cutting fees                 | 1,782,644          | 10,848,103         |
| Finance cash discount              | --                 | 2,283,416          |
| <b>Total</b>                       | <b>407,705,200</b> | <b>222,096,984</b> |

**32 FORMED OF PROVISIONS**

|                           | <u>31/12/2023</u>  | <u>31/12/2022</u>  |
|---------------------------|--------------------|--------------------|
|                           | <u>L.E</u>         | <u>L.E.</u>        |
| Provision of taxes        | 75,000,000         | 32,000,000         |
| Provision claims          | 29,000,000         | 47,000,000         |
| End of Services provision | 35,000,000         | 41,000,000         |
| <b>Total</b>              | <b>139,000,000</b> | <b>120,000,000</b> |

**33 TAKFUL CONTRIBUTION – SOCIAL INSURANCE:**

|                      | <u>31/12/2023</u> | <u>31/12/2022</u> |
|----------------------|-------------------|-------------------|
|                      | <u>L.E</u>        | <u>L.E.</u>       |
| Takaful Contribution | 14,324,267        | 10,917,142        |
| <b>Total</b>         | <b>14,324,267</b> | <b>10,917,142</b> |

**34 DIVIDENDS OF SUBSIDIARIES AND ASSOCIATES COMPANIES:**

|                                                                 | <b><u>31/12/2023</u></b> | <b><u>31/12/2022</u></b> |
|-----------------------------------------------------------------|--------------------------|--------------------------|
|                                                                 | <b><u>L.E</u></b>        | <b><u>L.E.</u></b>       |
| “Re-evaluation of the Batterjee Company in KSA” Standard No. 18 | 36,299,040               | 20,156,330               |
| “Re-evaluation of the medical union Company” Standard No. 18    | 19,355,988               | 5,349,858                |
| Saudi Batterjee Company                                         | 12,136,088               | 5,792,788                |
| The medical union company                                       | 6,717,331                | 6,717,332                |
| <b>Total</b>                                                    | <b><u>74,508,447</u></b> | <b><u>38,016,308</u></b> |

**35 DEFERRED TAX (TAX BURDEN):**

**Deferred tax liability:** This burden represents the value of the tax due on temporary differences calculated in accordance with Egyptian Accounting Standard No. (24) and in accordance with the provisions of Tax Law No. 91 of 2005 and whose payment is deferred for subsequent periods.

**36 TAX POSITION**

The taxes owed by the company for the activity of the year are calculated in accordance with the applicable laws and instructions in this regard, and the necessary provision for tax obligations is formed after conducting the study considering the tax claims. The company pays the taxes due on it annually from the reality of tax returns.

**a) First: - Corporate Tax**

**From the beginning of the activity until 2013**

- The company was examined for those years and an internal committee was formed to settle the disputes and settle the tax differences.

**The years from 2014 – 2015**

- The company was examined for those years, and an objection was made to the examination, referral to the internal committee, settlement of disputes, and payment of tax differences in 2022.

**From 1/1/2016 to 31/12/2019**

- The company was inspected for this period, and 20 million L.E. were paid under the account of tax differences, and the rest will be paid during the next period.

**From 1/1/2020 to 31/12/2023**

- The company is obligated to submit tax returns to the Senior Taxpayers Center in accordance with the forms prepared by the Tax Authority in accordance with the provisions of the law. The company has not been examined for those years to date, bearing in mind that the last tax decision was submitted in April 2023 for the year 2022.

**b) Second: - Salary Tax**

**From the beginning of the activity until 31/12/2012**

- The company was examined, internal committees were made, and all due differences were paid according to the decision of the internal committee.

**From 1/1/2013 to 31/12/2019**

- The company was examined for this period and the due differences were paid.

**The period from 1/1/2020 to 31/12/2023**

- The company deducts the taxes due on all employees in accordance with the law and delivers them on time. The company has not been examined for this period to date till now.

**c) Third: - Stamp tax**

**From the beginning of the activity until 31/12/2021**

- The company was examined, internal committees were made, the differences were paid and the file was settled.

**Years from 1/1/2022 to 31/12/2023**

- The company has not been examined for this period.

**d) Fourth- VAT**

**Years till 31/12/2015**

- The company was examined for those years and all due differences were paid.

**Years from 1/1/2016 to 31/12/2019**

- The company was examined for those years and all due differences were paid.

**Years from 1/1/2020 till 31/12/2023**

- The company pays the monthly returns on a regular basis, and the company has not been examined for that period to date, knowing that the company was registered according to the value-added law on legal dates.

**e) Fifth: -Withholding Tax**

The company deducts the taxes due from all its dealers and pays them according to the tax card of each financier until December 31, 2022, to the Tax Authority of the Withholding Tax. The company was examined until the end of 2016 and all the due differences were settled and payments were made until September 30, 2023, the period between 2017-2018 was examined and the due tax differences were paid.

**f) Sixth: -Real Estate Tax**

The company was claimed with real estate tax, EIPCO 1 and EPICO 2, for the period from July 1, 2013, to December 31, 2020, and it was objected to, and the company paid the tax until the year 2021 until the dispute is completed with reservations, as the company is exempt from real estate tax because it is a subsidiary of ACDIMA.

**37 COMPARATIVE FIGURES**

The comparative figures have been revised to be in line with the current presentation of the financial statements.